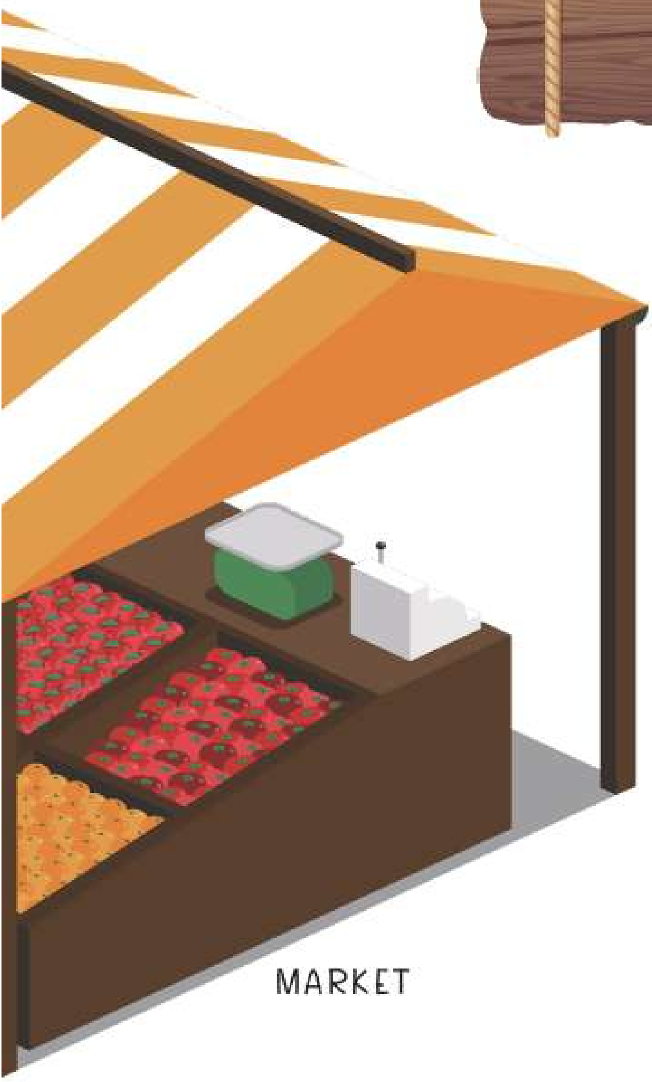
FORWARD MARKET



Alternatively, buying the underlying asset through a forward makes you enter a contract (legally binding) to purchase the same underlying (commodity – sugar, in this case) at a predetermined price at a later date decided today. You might have to pay a small amount i.e. margin money while entering this forward contract (derivative). However, this amount will be much smaller than paying the entire amount. Also, you will get the Sugar at the pre-determined price irrespective, if the price increases or decreases in the future.